

Global Rates Weekly

Hassett backed securities

The View: Central banks on call

The next two weeks will see a flurry of central bank meetings. Markets seem confident about rate decisions, but messaging and guidance are more uncertain. We remain long in front-end US, positioned for steeper curve in CAD, and flatter curve in AUD.

— S. Salim

Rates: RMPs “spread” holiday cheer

US: We expect Fed to deliver a rate cut & RMPs next week to total \$45bn/m for at least 6 months. RMPs support our long SOFR/ FF & 2y spread recommendations in addition to positioning for steeper vol surface.

EU: Spain announced it will use less NGEU loans than planned. We look at what it means for Spain & lower our EU bond issuance forecasts. We also discuss German bond flows.

UK: FPC’s review of banks’ Leverage Ratio rule - another potentially Gilt-positive consultation – is expected early next year, alongside the DMO’s T-bill review.

JP: 30-year JGBs issuance could reduce starting April ‘26, while issuance of maturities up to 10 years could see further increases. Thus, we recommend short 5-year JGB on ASW.

CA: BoC cuts and more GoC supply risk steeper curve, we continue to like being long 3m CORRA Z6 futures and 2s10s CAD curve steepeners.

— M. Cabana, M. Swiber, B. Braizinha, R. Axel, S. Salim, R. Man, E. Davidsson, A. Stengeryte, M. Capleton, O. Levingston, T. Yamashita, S. Yamada, K. Craig

Front end: SOFR/FF & RMPs: history lesson

US: History shows us that Fed action and liquidity addition can see SOFR/FF widen fast.

— M. Cabana, K. Craig

Inflation: Closing successful trades in EU and UK linkers

EU: In September, we argued for a tighter spread of z-spreads between OATei ‘47s and BTPei ‘56s, entering at 69bp. Our 40bp target has been breached and we close it.

UK: In May, we suggested receiving the forward yield between UKTi 2035s and UKTi 2049s vs. paying the equivalent in TIPS. The trade has reached target and we close it.

— M. Capleton

05 December 2025

Rates Research
Global

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Our medium term views

Exhibit 1: Our medium-term views

Global views

Rationale

Duration	- US: We recommend clients receive SOFR Z7 at 3.18% (target: 2.5%, stop: 3.65%). - EU: We expect lower terminal Depo than market pricing. We expect 10y Bund yields to trade in 2.5-3% range and end 2026 at 2.75%. - UK: Our updated terminal rate of 3.25% forecast implies below-forward forecasts in at the front-end. We forecast 10y Gilts at 4.50% by YE25 and 4.70% by YE26. - JP: We expect the 10yr JGB yields to rise to 2% at end-2026. Lingering supply-demand concerns. - AU: although we are bearish AU front-end rates, we are moderately bullish duration and recommend buying 30y ACGBs vs 30y JGBs
Front end	- US: Long Jan SOFR/FF. Fed funds is moving higher in range. Fed QT stop (expected end '25) should see MBS repayments shifted to bills, lowering repo - EU: ECB to continue QT and reduce reserves further. We are in Jun26 IMM 1y Euribor-€str wideners on rising funding pressures. We are received Mar26 €str on ECB cuts - UK: Our base case scenario for Bank Rate implies further MPC curve flattening: we pay Feb'26 MPC-dated Sonia vs. receiving Jun'26 MPC-dated Sonia. - JP: We believe the next rate hike will be delivered in January 2026. TONA is likely to remain slightly below IOER in 2026. - AU: We recommend paying 1y1y BBSW/SOFR because we see AU/US funding market conditions diverging more markedly into year-end '25
Curve	- US: Front end SOFR H6/H7 flattener on the back of our less aggressive Fed cuts expectation near term; 5s30s steepener on lower trough & persistent inflation - EU: we look for only mild steepening in 2s10s over the next two quarters & mild flattening thereafter. We expect more steepening in 10s30s, to 45bp but see potential for the 10y-30y bond curve to be resilient as debt agencies shorten the maturities of issuance and PF duration reduction happens mostly in swaps. - UK: Our forecasts imply mild weakness at the belly of the curve and constructive long-end Gilt bias. . - JP: The 5s30s curve may steepen further due to supply and demand concerns - AU: We see flatter curves and recommend carry-rich structures given the narrow range of likely outcomes for the RBA. Buy 3s7s flatteners vs CAD.
Inflation	- US: long 5y real SOFR on easier Fed & persistent inflation; long 10Y B/E inflation as hedge for loss of Fed independence and upside geopolitical risk. - EU: We favor receiving 10y5y real €str, and being short 30y EURi versus USDi with current 30y spread much tighter than historic realized average inflation difference. - UK: We recommend being long breakevens. using UKTi 2039s. The advantageous remit adjustment should be supportive through 1Q. - JP: On-the-run 10y BEI attractive given expected positive carry.
Spreads	- US: Treasuries are cheap historically and relative to MBS, IG, and HY. We recommend long 2y spreads for a cutting Fed, easing regs, and declining coupon supply. - EU: We expect 10y BTP-Bunds to trade in a 50-90bp (mild bearish bias near term, and bullish medium term on structural flows). We remain bearish OATs vs Bunds and periphery. We expect a tightening in sub 15y swap spreads and widening beyond that (expressed with a 5y-20y swap spread steepener). - UK: Expected supply divergence in 2026 is stark between the UK and Germany: we are long G vs. RXA invoice spreads. - JP: Given the increase in the net JGB supply, JGBs are likely to be cheaper vs matched maturity swaps. - AU: We see wider swap spreads, especially in the front end. We recommend paying 3y swap EFP and see fair value for 10y swap EFP around +10-20bps.
Vol	- US: vol range '26: 1y10y 75-85bp; left to underperformance vs right, 1y10y vs 1m10y spread fair c.5bp (±5bp), long fwd vol bias. - EU vol range '26: 1y10y c.55.65bp, sideways with slight upward bias, grid to stay steep, short fwd vol bias. - JP vol range '26: 1y10y c.50.60bp, vol supported by hawkish BoJ and left side to outperform right as grid adjust into mid-cycle dynamic. - AU vol range '26: 1y10y c.70-80bp, sideways vol with scope for left to continue to underperform right and slight long fwd vol bias.

Source: BofA Global Research

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Our key forecasts

Exhibit 2: Our key forecasts

Global forecasts

% EoP	2023	2024	YE 25	Q1 26	Q2 26	Q3 26	YE 26	YE 27
Fed Funds	5.25-5.50	4.25-4.50	3.75-4.00	3.75-4.00	3.50-3.75	3.00-3.25	3.00-3.25	3.00-3.25
10-year Treasuries	3.88	4.57	4.00	4.05	4.15	4.20	4.25	4.25
ECB refi rate	4.50	3.15	2.15	1.90	1.90	1.90	1.90	1.90
10y Bunds	2.02	2.36	2.65	2.65	2.65	2.75	2.75	2.85
BoJ	-0.10	0.25	0.75	0.75	1.00	1.00	1.00	1.50
10y JGBs	0.61	1.09	1.65	1.75	1.80	1.90	2.00	2.25
BoE base rate	5.25	4.75	3.75	3.50	3.25	3.25	3.25	3.25
10y Gilts	3.53	4.56	4.50	4.45	4.45	4.45	4.50	4.70
RBA cash rate	4.35	4.35	3.60	3.60	3.60	3.60	3.60	3.35
10y ACGBs	3.96	4.36	4.40	4.40	4.40	4.35	4.35	4.25

Source: BofA Global Research

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What we like right now

Exhibit 3: What we like right now

Global views

AMRS : We hold SOFR H6/H7 flattener, receive SOFR Z7, long 10y BE, long fwd vol, long Jan '26 SOFR/FF, and long 2y spreads
 EMEA : We remain received Mar26 €str, short EUR B/E vs US, in different long-end curve steepener expressions, and long 20y bonds on ASW vs 5y bonds.
 APAC: - 3s7s flatteners vs CAD, buy 30y ACGBs, sell 30y JGBs, pay 3y swap EFP, receive 1y1y BBSW/SOFR ahead of year-end turn.

Source: BofA Global Research; For a complete list of our open trades and those closed over the past 12 months, please see Rates Alpha below.

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The View

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The week that will be

The next two weeks will see a flurry of central bank meetings. While markets seem confident about the rate decisions, messaging and guidance are more uncertain and will be crucial for 2026 pricing and the shape of curves.

Fed: markets imply over 90% probability of a cut next Wednesday. Limited pushback from Fed officials on increased rate-cut expectations was a key reason our economics team revised their call, moving one of the 2H26 cuts forward to next week. The other two reasons are (1) some weakness in the employment picture, and (2) Williams' endorsement of a cut after the data release ([Federal Reserve Watch, 1-Dec](#)). The messaging will be key given the next 25bp cut is not fully priced until April. We believe it will be hard for Powell to argue that a Dec cut is warranted but a pause thereafter is appropriate; we remain long via SOFR Z7 and 5y real rates.

We are out of consensus in expecting the Fed to also already announce Reserve Management Purchases (RMPs) and term repo operations. If those materialize it should provide strong support to our longs in Jan SOFR/ FF & 2y swap spread (Rates – US).

BoC: no cut expected next week, but we think the market is underestimating the easing that will be delivered in 2026. While only 7bp of cuts are implied for next year, our economists project 50bp of cuts. To position for those, we like (1) 2s10s steepener; and (2) long 3M CORRA Z6 (Rates – CA)

RBA: Aside from Japan, it is in Australia where the market no longer prices in cuts, but only hikes ahead (a marginal 1bp implied for next Tuesday). We believe this is fair given the upside surprises in inflation over the last few months. Our economists expect the RBA to be on hold at 3.6% through 2026, but its communication will likely acknowledge that the next move could be a hike if the economy remains strong (see [RBA Preview](#)). We favour AUD 3s7s flattener boxed vs CAD steepeners ([Global Rates Weekly 28-Nov](#)).

SNB: We expect the SNB to leave rates unchanged at 0% due to inflation gradually accelerating from here; negative rates remain a risk ([European economic weekly](#))

Also to watch: US Sep PCE due today, Sep and Oct JOLTS ahead of the Fed on Dec 9th, UK 1Q26 Gilt auction calendar today (likely to signal limited duration supply), Japan BoP data (for details of Oct flows). We also keep an eye on Dutch pension fund websites in case of a delay among those targeting a 1-Jan-26 switch to Defined Contributions.

The week that was

BoJ's Ueda speech on Monday indicated that he is leaning toward a hike at the Dec meeting. This was significant as Ueda is seen as traditionally dovish. Our econ team consequently changed their call, bringing forward the next BoJ hike from Jan to Dec (19th). They maintained the same path beyond Jan, with hikes every six months and a terminal rate of 1.5% by end-2027 ([Japan Watch, 1-Dec](#)).

In the UK, the long-end flattening that started ahead of the budget extended further, leading our long 30y Gilt vs paid 10y sonia position to reach its target on Thursday, alongside our received 10y14y UKTi real yield vs. TIPS. The WAM reduction and bills consultation probably helped the UK long-end (see European Rates Alpha, 4-Dec and UK Rates Alpha, 5-Dec). We remain constructive UK long end, and UK spreads vs Germany.

Spain announced a 75% reduction in its NGEU loan take-up, which should ease EU issuance needs. However, potential funding for Ukraine poses upside risks (Rates – EU).



Rates – US

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- In addition to rate cut, we expect Fed to deliver RMPs next week to total \$45bn/m for at least 6 months
- RMPs support our long SOFR/ FF & 2y spread recommendations in addition to positioning for steeper vol surface

RMPs “spread” holiday cheer

The curve modestly bear steepened as the market digested Fed headlines & mixed data. Monday's bear steepening was spread across global curves and unlikely related to Hasset Fed Chair headlines. Bessent expressed disapproval of regional Fed presidents' residency, noting that presidents were meant to be from their district & that he will push presidents to live in district for 3 years. Even if it isn't retroactive, it shows how Trump team is likely trying to influence regional Fed boards & potentially flip seats.

Focus next week will turn to Fed meeting; we expect a 25bps cut in addition to the announcement of RMPs (Reserve Management Purchases) and term repo operations, see: [FOMC Liquid Insight](#). RMPs should encourage carry trades & low vol environment that we see in fund positioning and broader vol views. If we are right on RMPs, this will support our spread recommendations = long January SOFR/ FF & 2y basis spread. Lower supply and positive reg developments also good for long 2y asset swap spread view.

Outside of spreads & vol we continue to hold our views that favor: (1) lower belly rates via long SOFR Z7, (2) steeper curve in nominal 5s30s, (3) lower real rates via receiving 5y "real SOFR". These positions should benefit from faster future cuts due to either a US economic moderation or a more dovish future Fed reaction function.

Expect Fed to announce RMPS and term repo operations

We expect the Fed to announce reserve management purchases (RMPs) at next week's FOMC meeting for start in Jan at a pace of \$45b per month. We are out of consensus early and in size. The announcement will likely come in the implementation note with more detailed information on size and frequency provided in a link to the New York Fed's website. The Fed will likely provide open-ended guidance on the timing of Treasury bill purchases, we expect to see “at least until the end of the second quarter of next year” to maintain ample reserve balances “at or above” the level of reserves that prevailed prior to the recent episode of repo pressure, likely “early September 2025”.

Within the New York Fed's statement, we expect the Fed to announce \$45b/m in bill purchases starting in Jan. In '19 T-bill purchases started mid-month to account for MBS prepayments, and the schedule was announced on the 9th biz day of each month. These reserve management purchases will be on top of the Fed's ongoing reinvestment of MBS prepayments into Treasury bills. We estimate the Fed will need to buy at least \$20b/m for natural balance sheet growth purposes and an additional \$25b/m to reverse the reserve over drain, for at least the first 6 months. The Fed will likely want to maintain flexibility in future guidance on T-bill purchases to adjust for growth in Fed liabilities and demand for reserves over time.

Spread view support from RMPs

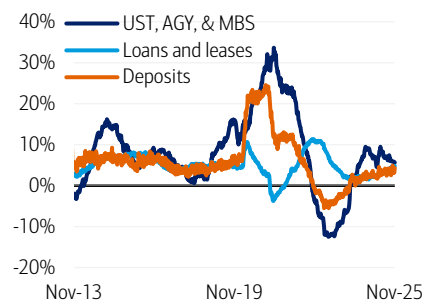
Clients say we are out of consensus on how fast Fed will RMP. Most expect Fed will be slow & act by March / April. RMPs waiting till end Jan = too long, in our view. If we are right, SOFR/FF will widen quickly. We still like long Jan SOFR/FF. For detail see our report: [SOFR/FF & RMPs: history lesson](#).



A larger Fed balance sheet and easier funding conditions should support our long 2y UST vs pay fixed 2y SOFR recommendation (long 2y swap spread). Larger Fed balance sheet = larger bank balance sheet = likely larger securities portfolio (Exhibit 4). We expect much of bank securities growth concentrated near 2y point. Strong demand from banks and lower net supply across core USD fixed income (Exhibit 5) are positive factors for being long front-end spreads which are historically cheap, offering value over carry opportunities in other markets.

Exhibit 4: YoY change in securities, loans, and deposits

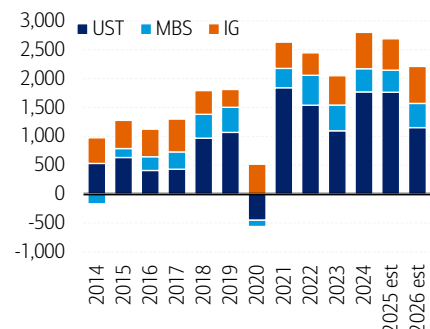
Securities growth usually only positive when deposit growth is positive



Source: BofA Global Research, Bloomberg, Federal Reserve
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Exhibit 5: Net supply to private market

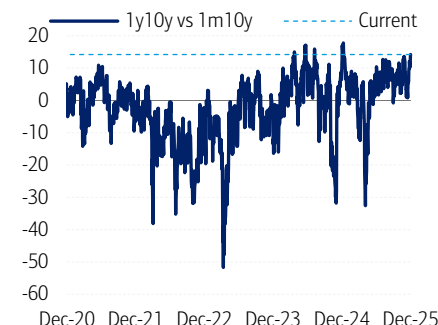
Net supply will be lower driven by USTs; net MBS & IG supply will be larger (\$bn)



Source: BofA Global Research
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Exhibit 6: Term structure of volatility at historically steep levels

Carry bias near term & uncertainty medium term



Source: BofA Global Research
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Reg developments positive for swap spreads

The Fed finalized eSLR as expected but the documents also contained an in-depth discussion on how to improve Treasury market resilience and liquidity, as we had anticipated. We now view it likely that a proposal on easing dealer regs arrives by H1 2026. This would be good for spreads across the curve. Capital requirements of dealers have yet to be ease, as banks (depository inst) were the subject of the eSLR change. The dealer subsidiary in our view is the single largest factor for the level of swap spreads. If dealers had no regulatory costs or constraints to trade, finance (repo), and warehouse Treasuries, it could lead to a full normalization of Treasuries vs swaps, with potential for sub 5y Treasuries to trade materially rich to swaps as bills often do, reflecting not only their collateral value but their lower price risk. We like to be long spreads along the curve, especially 2y given the carry-per-risk and the roll, as we await Vice Chair Bowman's next move to enhance resiliency of the Treasury market.

Vol term structure = carry vs. medium-term uncertainty

Term structure of volatility trades steep (Exhibit 6). The steepening dynamic is driven by: (1) a long carry bias near term = short vol bias – 1m10y vol trades mid-60bp, levels not seen since '21 as Fed guidance at the zero lower bound drained market volatility, (2) relatively high levels of uncertainty medium term (e.g., election event risk) which keep intermediate expiries relatively anchored (c.80bp for 1y10y vol). This dynamic is in line with our expectations for the carry backdrop to stay resilient in early '26, but higher levels of uncertainty in 2H (see our ['26 vol outlook](#) from 26 Nov '25), supporting a steeper term structure of volatility near term, but flatter over 2H26. However, even in this context current gamma levels seem to be relatively complacent.

Short vol & bias for carry trades is also evident in fund positioning. Active benchmark funds are relatively light on duration/ curve risk but are overweight MBS & underweight IG (see: [Core bond supply & demand](#)).

Bottom line: In addition to a cut next week, we expect Fed will deliver RMPs. This would support our long Jan SOFR/FF & 2y spread recommendations. RMPs should also argue for steeper vol surface & encourage carry trades. Outside of spreads & vol we remain long belly duration through 5y real yields & SOFR Z7.

Rates – EU

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- Spain opts to limit additional NGEU loans. Limited impact on funding costs, underlying political difficulties & limited reforms may have wider consequences.
- We lower our EU funding needs as a result and look at latest German bond flows.

Spain part ways with NGEU loans

This week, the Spanish Economy Minister indicated Spain will only borrow a quarter of the initially requested NGEU loan volume (i.e. a €62bn reduction in borrowing plan). This was justified by strong growth having reduced the need for EU funds, and a preference for capital markets borrowing instead of EU borrowing (due to costs and conditionality).

It is true that this year's solid performance of Spanish bonds reduces the cost savings provided by NGEU loans over market funding (20y SPGBs are flat to EU bonds now), but we worry cost is not the only reason. The fragmented political environment in Spain has resulted in an environment where parliamentary consensus has been difficult to reach. Assumably, part of their difficulties in making full usage of the RRF plan is also a consequence of this. Either way, we see four important consequences:

- **Remaining grants:** Spain has €24.7bn left in possible grants, but it's tied to 34 needed reforms and 226 investments. About half of the reforms require legal actions, which may prove to be difficult due to the lack of political consensus. For the investments, the limited administrative capacity inhibits a quick deployment of the funds. On a regional level, actual execution of investments has also slowed in certain areas, as the regional demands do not always align with the centrally planned investment goals. These difficulties may even inhibit Spain in spending the grants that have already been disbursed (about a third is yet to be spent).
- **Covering pre-funding:** Spain has pre-financed expenditures from the state budget, to ramp up the execution of RRF projects. If remaining grants are not received, it would result in increased borrowing requirements instead, all else equal.
- **Credit ratings:** Rating agencies may see the reduced NGEU funding as credit negative if they focus on the resulting reduced impetus for reforms & investments. Moody's has explicitly mentioned this as a potential credit negative factor. Additionally, as Spain's current fiscal stability is largely supported by strong economic growth, rather than fiscal prudence, any negative impact seen from lower NGEU borrowing on growth can in turn worsen deficits and debt trajectories.
- **WAM of issuance:** Reduced NGEU loan take-up removes what could have been a positive story in terms of WAM reduction of bond Spanish issuance. Indeed, with NGEU loans being long-dated, countries can reduce their long-end bond supply when receiving large NGEU loans – Exhibit 7 shows this was the case for Italy.

A positive for EU issuance, but Ukraine needs can emerge

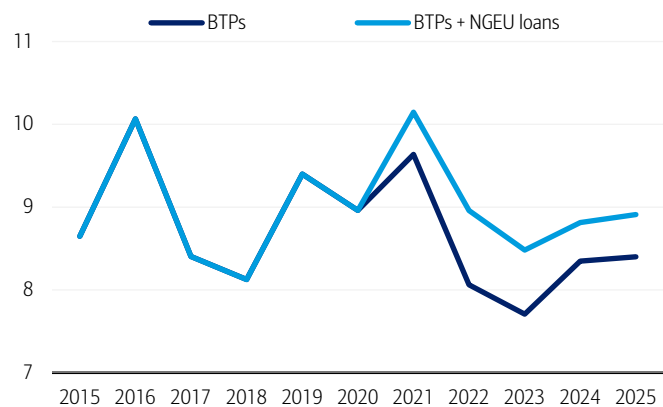
In our Year Ahead report, we expressed concerns around the possible large increase in EU bond issuance needs in 2026 given the then remaining NGEU disbursements. The €62bn cut in loans to Spain is a welcome relief. We now project EU gross bond issuance needs of €150-190bn, depending on whether the EU raises meaningfully its reliance on bills & repo for 2026 (esp. for the SAFE programme), pushing bond issuance into 2027 when net funding needs should be limited to SAFE. If such reliance on short term funding is considered, we would project that H1 programme is announced at €90-100bn, increasing marginally from the €90bn announced for 1H25. What could then lift bond



issuance in 1H26 would be the need for a new loan programme to Ukraine, if Russian assets cannot be used to provide the reparation loan. In a letter to member states, EC President Von Der Leyen noted a min target of €45bn of lending to Ukraine in 2026.

Exhibit 7: Average maturity of new issuance for Italy

NGEU loans had greater average maturity than bond issuance (years)



Source: Italian Tesoro, BofA Global Research

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Exhibit 8: BofA estimates for EU bond issuance needs in 2026

Reduced EU loans to Spain reduce NGEU needs. If a new loan programme to Ukraine is not needed, gross EU bond issuance can be €150-190bn.

	Range est.	Mid-point
NGEU needs, with reduced spanish loans (*)	190	190
NGEU Bond redemptions	35	35
Other financing needs	25 - 40	33
Ukraine facility	8	8
SAFE (mid of 23bn = 15% pre-financing)	15 - 30	23
other MFAs (est)	2	2
Total Needs	250 - 265	258
Gross bond issuance	150 - 190	170
Net bill issuance	10 - 20	15
Other financing sources (cash & repo)	60 - 80	70
Bond issuance, net of NGEU & SURE redemptions	107 - 147	127
-> change in gross bond supply vs 2025	-3 - 37	+17
-> change in bond supply net of redemptions	-17 - 23	+3
Potential additional Ukraine needs, not accounted above	0 - 45	23

Source: European Commission, BofA Global Research

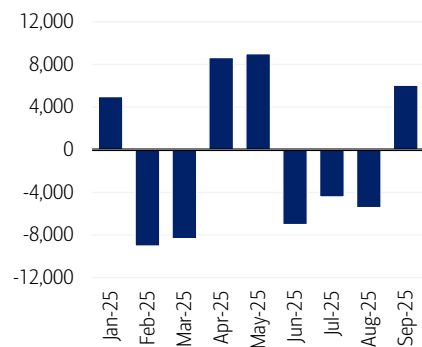
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Germany: Leveraged investors return

Sep investment flow data in German bonds, provided by the Finanzagentur signal some of the potential changes in demand we've argued for in our [Global Rates Year Ahead](#). Most notably, bank net purchases, which we argue may be more constrained in the coming year, fell to the second lowest monthly volume for 2025 (Exhibit 10). The now low levels of cash within EA banks' HQLA holdings, argue for a limited potential in continued substitution of reserves to EGBs without a fundamental shift in HQLA management.

Exhibit 9: Leveraged investors net purchases turned positive for the first time in 4 months

Net purchases of German government securities by leveraged investors (€mn)

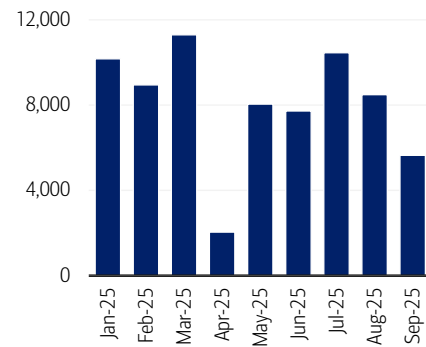


Source: Finanzagentur. Net purchases based on secondary market activities.

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Exhibit 10: Bank net purchases slowed in Sep25

Net purchases of German government securities by banks (€mn)

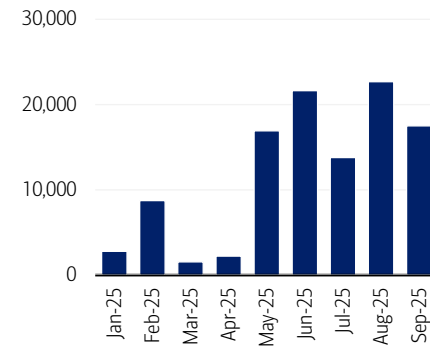


Source: Finanzagentur. Net purchases based on secondary market activities.

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Exhibit 11: Central bank net purchases remained strong in Sep25

Net purchases of German government securities by central banks (€mn)



Source: Finanzagentur. Net purchases based on secondary market activities.

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Central bank purchases remained strong at €18bn (Exhibit 11). One notable change in those purchases was a meaningful shift towards Bubills, when 41% of their purchases so far this year have been at the 10y point. As the only AAA-AA Euro area sovereign issuer offering very strong liquidity, we assume continued demand from this investor type next year. Lastly, in September, leveraged investors also net bought €6bn of German govt securities (Exhibit 9). This was the first month of net purchases since May, and buying was concentrated in the 10y and 30y point, helping explain the bull flattening in Sep.

Rates – UK

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- FPC's review of banks' Leverage Ratio rule—another potentially Gilt-positive consultation—is expected early next year, alongside the DMO's T-bill review.

Consultations under the Christmas tree

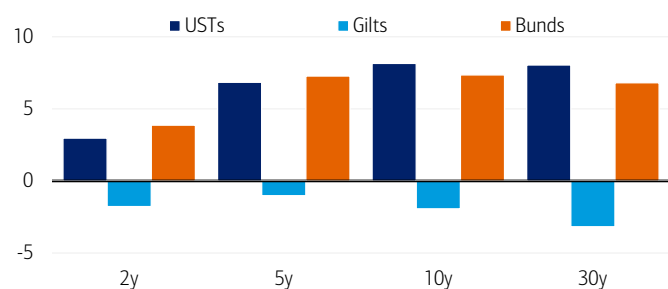
Post-Budget strength in the Gilt market persisted this week, with the 10y Gilt-Bund spread narrowing to its tightest level of the year at 170bp. Gilts rallied across the curve, led by the long-end (Exhibit 12). Meanwhile, our Bank Rate call for cuts in December, March and June implies scope for some further flattening at the front-end (Exhibit 13).

Gilt performance may also have been supported by the Financial Policy Committee's indication that the BoE will review banks' Leverage Ratio rule - another potentially Gilt-positive consultation expected early next year, alongside the DMO's T-bill review.

Ahead, the DMO will release the 1Q26 Gilt auction calendar today, which is likely to signal limited duration supply. Taylor, Lombardelli and Bailey are due to speak next week, with Lombardelli, Ramsden, Mann and Dhingra also due at the TSC on Tuesday.

Exhibit 12: Post-Budget strength in the Gilt market persisted this week

UST, Gilt and Bund yield changes since 28 November (bp)

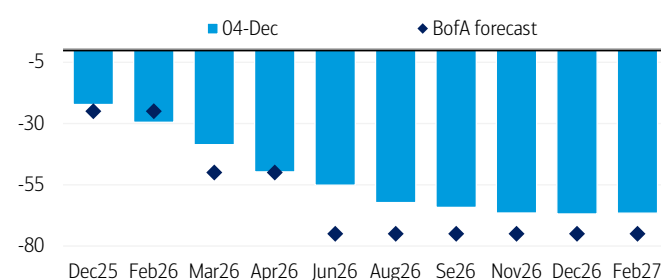


Source: Bloomberg, BofA Global Research

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Exhibit 13: Some further curve flattening implied

Sonia-implied Bank Rate cut pricing & BofA forecasts (bp)



Source: Bloomberg, BofA Global Research

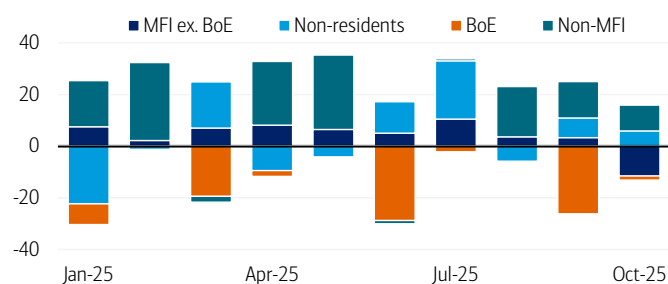
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The week that was #1: Gilt buying in October - bank holdings reduce by £11.6bn

This week's BoE Bankstats report for October showed foreign investors increasing their Gilt holdings by £5.9bn, having increased them by £7.6bn in September (Exhibit 14 & Exhibit 15). Domestic non-banks added £10bn, remaining the top buyers, year-to-October.

Exhibit 14: Foreigners rebuild their Gilt holdings by £5.9bn in October

Monthly net holding of Gilts changes by investor type (£bn)

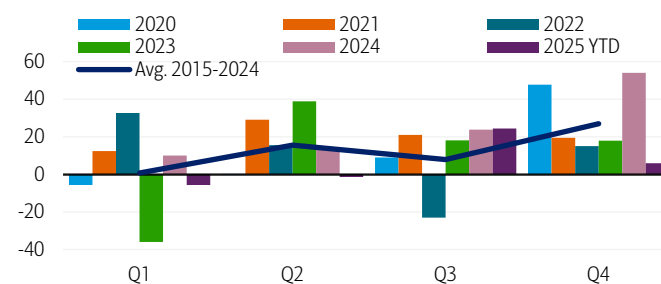


Source: Bank of England, BofA Global Research

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Exhibit 15: Foreign investors' holdings up by £23.2bn year-to-October

Quarterly non-residents' net buying of Gilts (£bn)



Source: Bank of England, BofA Global Research

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The standout detail of the BoE Bankstats report was domestic banks offloading a hefty £11.6bn in October, ending a strong buying streak that had persisted since July 2024. One caveat was that October saw the redemption of the UKT 3.5% 2025, so if banks



were major holders, some reinvestment may follow. Still, the redemption likely accounted for only a small share of the net reduction in holdings. The -0.2% m/m drop in broad money suggests to us the possibility of banks' trading-book activity, as non-bank buying and bank selling of Gilts typically extinguish deposits.

Although October's domestic bank buying data represents only a single observation, it nonetheless raises concerns about the smooth transition to a borrowed-reserves regime and highlights how the uneven leverage ratio treatment of reserves versus Gilts remains a distinct regulatory obstacle to liquidity transition, in our view.

The week that was #2: BoE to gather evidence on banks' Leverage Ratio rule

The December 2025 Financial Policy Committee record indicated that the Bank would engage in evidence gathering sessions in early 2026 as part of review of the implementation of the leverage ratio in the UK, to ensure that it functions as intended.

As highlighted in our report: [The UK Leverage Ratio "carve-out" needs to be reshaped, 27 June](#), the current framework of excluding central bank reserves from the denominator of the Leverage Ratio and lifting the required minimum ratio from 3% to 3 ¼% was introduced in October 2017. It seemed like a good idea at the time when QE was injecting large amounts of (risk-free) reserves into the banking system, increasing banks' capital need.

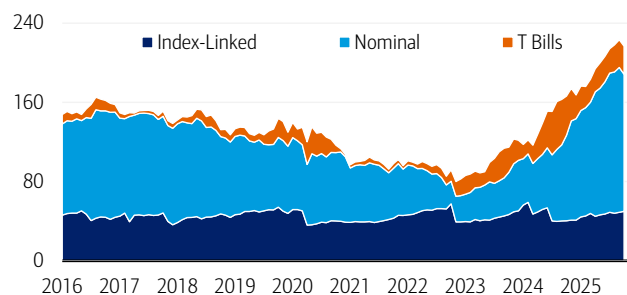
The shift in abundance of reserves relative to Gilts since QT began should have encouraged banks to substitute reserves with Gilts, particularly with relative return of Gilts improving versus reserves. In practice, the different regulatory treatments of reserves and Gilts under the Leverage Ratio likely played a role in decision making between HQLA holdings: banks Gilt holdings have indeed surged, from a very low base, but remain a small fraction of the reserves stock (Exhibit 16 and Exhibit 17).

Ideally, banks should be almost indifferent between holding reserves and Gilt HQLA giving banks swift access to reserves. Achieving this requires either carving out Gilts or reinstating reserves in the Leverage Ratio. While a Gilt carve-out continues to seem unlikely to us (although a partial Gilt carve-out, perhaps sub-5y, can be considered), reversing the UK's reserves-only carve-out would appear more feasible. This would also imply rolling back the minimum ratio increase from 3% to 3.25%.

Removing reserves from the leverage ratio would markedly improve Gilts' position versus swaps, eliminating their current disadvantage and reducing banks' strong preference for reserves as HQLA. Moreover, if the leverage ratio is acting as a binding constraint more often than intended, measures that shift banks' focus toward risk-weighted metrics could further support Gilts.

Exhibit 16: UK banks' holdings of Gilts and T-bills have recovered

Holdings by broad category (£bn)

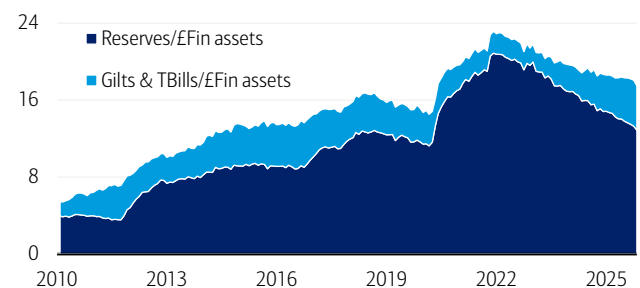


Source: Bank of England, BofA Global Research

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Exhibit 17: UK banks' Gilt holdings still modest relative to reserves

Banks' Gilt and reserves holdings as a share of GBP financial assets (%)



Source: Bank of England, BofA Global Research

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Rates – JP

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- As reported in the news, issuance of 6-month bills, 2-year JGBs, and 5-year JGBs will be increased starting January 2026
- Issuance of 30-year JGBs may be reduced from April, while issuance of maturities up to 10 years could see further increases. Thus, we recommend short 5-year JGB on ASW.

This is an excerpt from [Japan Rates Watch, 01 December 2025](#)

Increase in 2Y & 5Y issuance from January 2026

On November 28, the Japanese government approved the FY2025 supplementary budget totaling ¥18.3 trillion, marking the second consecutive year of an increase in the supplementary budget. Of this amount, newly-issued bonds—comprising construction bonds and special deficit-financing bonds—account for ¥11.7 trillion, roughly 64% of total funding sources. However, due to reallocation of frontloaded issuance and increased issuance to individual investors, the increase in auction sizes (excluding T-bills) from January 2026 is limited to ¥100 billion each for 2-year and 5-year JGBs. This means there will be no sharp surge in JGB auction issuance starting January 2026.

That said, a further increase in the size of JGB auctions for maturities of up to 10 years from April 2026 appears likely. This will depend on the outcome of tax reform discussions during the extraordinary Diet session scheduled to run through December 17, as additional funding sources may be required. Furthermore, at the November 27 meeting of JGB market special participants, the possibility of shortening the weighted average maturity of JGB issuance was also discussed. (For details on fiscal measures under the Takaichi administration, see our report: [Japan Viewpoint: New stimulus under the new PM's expansionary fiscal stance 21 November 2025](#))

Trade recommendation

We recommend a short 5-year JGB on asset swap (Issue No. 181; coupon: 1.3%; maturity: September 20, 2030, combined with receiving the swap of the same tenor). The suggested entry level is 5bp, with a target of 15bp and a stop-loss at 0bp. Risks to this trade include the possibility that the short ASW may not work if tax reform discussions stall and JGB issuance is not increased as a funding source.



Exhibit 18: FY2025 Market Issuance Plan by issue

Issuance of 6-month bills, 2-year JGBs, and 5-year JGBs is set to increase

(¥tn)

	FY2025(Revised in June)	FY2025(Revised in November)	Difference
40-year	0.5 × 1 2.5 0.4 × 5	0.5 × 1 2.5 0.4 × 5	0.0
30-year	0.8 × 3 8.7 0.7 × 9	0.8 × 3 8.7 0.7 × 9	0.0
20-year	1.0 × 3 10.2 0.8 × 9	1.0 × 3 10.2 0.8 × 9	0.0
10-year	2.6 × 12 31.2	2.6 × 12 31.2	0.0
5-year	2.4 × 12 28.8	2.4 × 9 29.1 2.5 × 3	0.3
2-year	2.6 × 6 31.8 2.7 × 6	2.6 × 6 32.1 2.7 × 3 2.8 × 3	0.3
TBs	42.9	49.2	6.3
10-year Inflation-Indexed	0.25 × 4 1.0	0.25 × 4 1.0	0.0
Japan Climate Transition Bonds	1.2	1.2	0.0
Liquidity Enhancement Auction	13.5	13.5	0.0
Total	171.8	178.7	6.9

Source: BofA Global Research, MoF

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Exhibit 19: Net JGB supply

Net JGB supply in 2026 is projected to exceed that in 2025

Calendar Year	Gross JGB Issuance (a)	Total JGB Redemptions (b)	BoJ JGB Purchases (c)	BoJ JGB redemptions (d)	Net supply=(e)=(a)-(b)-(c)-(d)	Net supply % of GDP
2010	120.9	77.8	22.5	-13.8	34.5	6.8%
2011	123.7	100.4	24.4	-15.2	14.1	2.8%
2012	128.2	100.9	43.7	-20.6	4.3	0.9%
2013	136.3	98.4	77.3	-24.9	-14.5	-2.9%
2014	138.3	108.9	88.7	-28.5	-30.8	-5.9%
2015	137.4	107.6	112.4	-32.2	-50.4	-9.4%
2016	134.7	105.8	119.2	-40.6	-49.8	-9.1%
2017	130.8	101.3	101.0	-43.2	-28.4	-5.1%
2018	126.0	103.3	92.0	-54.4	-14.9	-2.7%
2019	120.7	106.0	71.1	-55.3	-1.1	-0.2%
2020	131.9	110.6	83.0	-60.7	-1.0	-0.2%
2021	145.7	105.6	73.6	-60.1	26.6	4.8%
2022	147.3	108.5	111.1	-62.5	-9.8	-1.8%
2023	149.1	114.8	113.9	-82.0	2.3	0.4%
2024	146.0	112.0	65.8	-73.8	42.0	6.9%
2025	139.8	116.6	45.7	-80.9	58.4	9.2%
2026	143.3	117.7	31.2	-78.5	72.8	11.2%

Source: BofA Global Research, IMF, Bloomberg, BoJ, MoF

Note: Nominal GDP figures are based on IMF published data

BofA GLOBAL RESEARCH

Rates – CA

Katie Craig
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Ralph Axel
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- We believe the market is underpricing the likelihood of BoC cuts in '26 with persistent economic weakness and risks to the downside
- We continue to like being long 3m CORRA Z6 futures and 2s10s CAD curve steepeners.

This is an excerpt of

[Canada Year Ahead 2026: We still expect lower policy rates ahead](#)

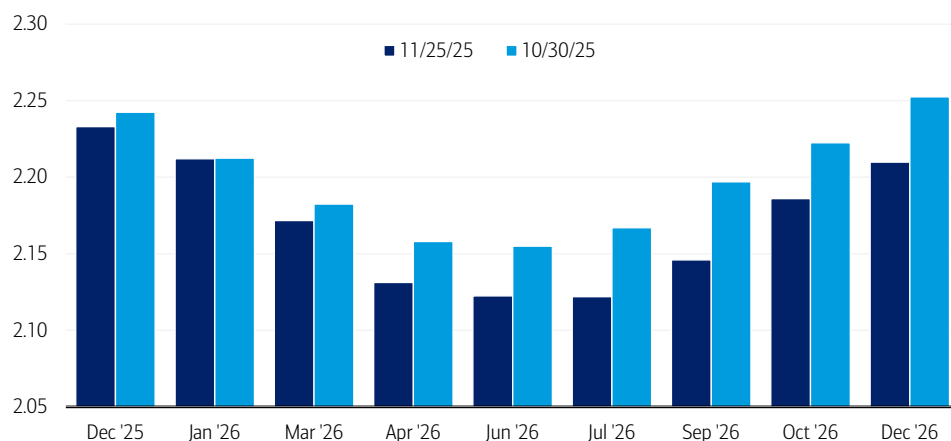
While we expect the BoC to cut an additional 50bp in 2026, the market is currently pricing in only 5bps of further cuts in '26. We see risks to CAD rates outperforming expectations and potential for further steepening in the curve driven by BoC cuts. To position for these dynamics, we recommend (1) 2s10s steepener; and (2) long 3M CORRA Z6.

CAD outlook: weak activity, USMCA review

Though we continue to expect resilient growth in 2026, tariffs on CAD imports by the US have structurally weakened Canada's economy. The BoC has cut to the bottom of their projections for the neutral rate but remains cautious on further cuts due to upside risks about price stability. Ongoing weakness in economic activity and risks related to around the USMCA around mid-26 will prompt further cuts to stimulate growth by cutting below the neutral range. We believe the market is underpricing these risks and therefore expect CAD rates to outperform expectations driven by BoC cuts.

Exhibit 20: Market pricing of BoC OIS path, recent vs post Oct BoC meeting (%)

Market pricing of BoC hikes in '26 began to get priced in following the hawkish BoC meeting in Oct but have since repriced to roughly flat on the year. We recommend fading any hikes priced in for '26



Source: Bloomberg

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CAD rates: we like 3m CORRA Z6 & 2s10s steepeners

Our forecasts project CAD rates to fall below forwards, especially for front-end rates. We believe the market is underpricing risks of further BoC cuts and overpricing risks of the BoC lifting rates in late '26 / early '27. To position against this, we recommended clients go long 3m CORRA Z6 futures (current: 2.26, target: 2.00, stop: 2.50). Risks to this trade would be rising inflation and a hawkish BoC.



In our view, the curve will likely steepen as the BoC cuts below expectations of neutral. With slight positive carry/roll, we recommend the 2s10s steepener as a relatively low-cost way to position for BoC cutting below neutral. current: 74bp, target: 90bp, stop: 50bp). Risks to this trade would be a hawkish BoC.

Exhibit 21: BofA CA rate forecasts

We f'cast CA rates below fwds in '26 & '27, especially for front-end rates

	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q27
2y	2.45	2.35	2.25	2.25	2.25	2.30	2.35	2.50
5y	2.75	2.75	2.75	2.75	2.75	2.85	2.90	3.00
10y	3.25	3.25	3.25	3.30	3.35	3.40	3.45	3.50

Source: BofA Global Research

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Exhibit 22: BofA CA swap rate forecasts

We project CA swap spread widening driven by greater GoC supply in '26

	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q27
2y	2.30	2.20	2.10	2.10	2.10	2.15	2.20	2.35
5y	2.55	2.55	2.55	2.55	2.55	2.65	2.70	2.80
10y	3.00	3.00	3.00	3.05	3.10	3.15	3.20	3.25

Source: BofA Global Research

BofA GLOBAL RESEARCH

CAD front-end: BoC bill purchases to start Dec 16 '25

Despite significant funding pressure in the US and notable volatility in US money market rates, CORRA, the Canadian overnight repo rate average, has trended lower since mid Sept. The BoC ended QT earlier this year and has been using repos to offset any additional drain in settlement balances (Fed reserve balance equivalent). As we expected, the BoC announced plans to start routine purchases of T-bills at auction starting in Dec '25. The BoC will likely grow their holdings of T-bills to roughly equal settlement balances ex repos to better match the duration of their assets with their liabilities. This could result in up to CAD\$50b of T-bill purchases in 2026, which should put downward pressure on front-end yields.

CAD supply: risks skewed to higher issuance in '26

The Canada Budget report for 2025 projects the total stock of marketable debt to rise roughly CAD\$150b in '26-'27 from the prior year but forecasts a small shift in composition with a lower share of issuance from T-bills and more from belly and long-end issuance. The higher stock of GoC debt outstanding and higher share of issuance from the belly and long-end is consistent with our 2s10s steepener view. We see risk skewed to the upside for issuance driven by weaker growth and desire to offset downside risks related to the USMCA review.

Bottom line: We think the market is underpricing the likelihood of BoC cuts in '26. With persistent economic weakness and risks to the downside in the year ahead, we recommend clients position long 3m CORRA Z6 futures and 2s10s CAD curve steepeners.

Front end – US

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- We sense the market underprices risk of Fed action, SOFR response, & FF lag.
- We hold our Jan SOFR/FF long despite market pricing & sentiment being against us.

This is an excerpt of [SOFR/FF & RMPs: history lesson](#)

SOFR/FF & Fed RMPs: history lesson

Clients continue to ask about the outlook for SOFR/FF, especially with potential Fed reserve management purchases (RMP). At the Dec FOMC we expect (1) term repos over year end (2) RMPs of \$45b/m announced to start in early Jan, which represent \$20b/m of natural Fed balance sheet growth & \$25b/m of “backfill” for likely 6m (see: [Fed RMP ≠ QE & US funding & Fed](#)). Clients tell us we are out of consensus aggressive. They also ask: what happens to SOFR/FF if you are right? History says SOFR/FF impact is fast.

RMP impact: SOFR > FF; FF lags on SOFR rise & SOFR fall

History only offers 1 good example of the SOFR/FF impact after Fed RMPs: fall '19. Recall, SOFR spiked in mid Sept '19; the Fed quickly rolled out repos at IOR flat & announced RMPs on Oct 11 / started buying Oct 16. Fed RMPs per month were 0.2-0.3%/GDP and repos totaled ~1%/GDP (Exhibit 23). This liquidity addition likely caused SOFR/FF to widen in '19 from -21bp in Sept, to -3bp in Oct, to -2bp in Nov.

Today is not '19. The Fed over-drain has not been as acute as '19 and the Fed will not respond as dramatically. Our monthly RMP expectation is near 0.15%/GDP, lower vs '19. The key lesson we take from '19 is that cash add can move SOFR quickly. FF also lags.

The market knows FF lags SOFR as funding rates rise. The market should not forget FF lags on the way down too. SOFR is likely to quickly respond to Fed RMPs but FF will likely be stickier. This was clearly evidenced in '19 (Exhibit 24). It was also evidenced in 2H '21 when Fed QE pushed SOFR to zero faster vs FF (Exhibit 25).

SOFR/FF if we are right: Jan should widen to at least -5bp

If the Fed starts RMPs at \$45b/m in Jan we expect Jan SOFR/FF to widen at least to -5bps. Jan SOFR/FF would benefit from: (1) direct liquidity added to the system (2) large swing in funding sentiment / short position stop outs. RMPs & repos in Oct '19 saw SOFR/FF realize at -3bps; our expected RMP size is smaller vs '19 but SOFR/FF is becoming increasingly sensitive to changes in liquidity, similar to '19 which would likely mean SOFR/FF realizes closer to -5bp.

Jan SOFR/FF is currently priced at -10bps. The market seemingly (1) prices limited risk of Fed RMPs in Jan or term repo roll out around year end (2) is not adequately pricing the risk of SOFR to reprice quickly while FF lags. We think the market more strongly consider these risks & price Jan SOFR/FF wider.

We hold Jan SOFR/FF long (current= -9bp, entry= -6.5bp, stop= -11bp, target= -2bp). Market pricing and sentiment are against us. We still like being long Jan SOFR/FF as we sense the market underprices the risk of Fed action, SOFR response. & FF lag. Nov SOFR/FF realized at -10bp, implying limited potential downside to being long Jan. History says that Fed action & liquidity addition can see SOFR/FF widen fast. Risk = no Fed move.



Exhibit 23: Money market rate spreads and Fed liquidity programs following last QT episode

FF-SOFR spread quickly moved wider following the last QT episode and in early '21 at start of QE

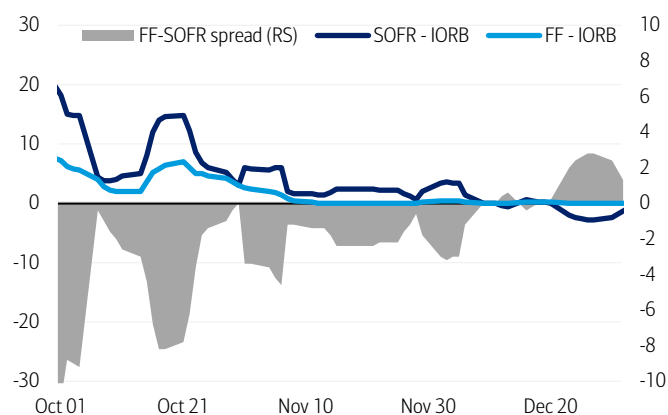
	SOFR-IORB (1m avg, bp)	FF-IORB (1m avg, bp)	FF-SOFR (1m avg, bp)	Liquidity / GDP (EoM, %)	T-bill purchases / GDP (%)	Fed repo outstanding / GDP (EoM, %)
Jul-19	10.43	5.30	-5.13	7%	0.00%	0.00%
Aug-19	2.82	2.50	-0.32	7%	0.01%	0.00%
Sep-19	28.05	7.05	-21.00	6%	0.01%	0.49%
Oct-19	7.43	4.04	-3.39	7%	0.21%	1.01%
Nov-19	2.10	0.24	-1.86	7%	0.26%	0.97%
Dec-19	-0.50	0.09	0.59	8%	0.29%	1.10%
Jan-20	-0.65	-0.26	0.39	7%	0.29%	0.82%
Feb-20	-1.45	-1.65	-0.20	7%	0.29%	0.67%
Mar-20	0.95	2.55	1.59	10%	0.14%	1.65%
Apr-20	-8.09	-5.14	2.95	15%	0.00%	0.74%
May-20	-5.48	-5.00	0.48	16%	0.00%	0.85%
Jun-20	-2.09	-2.32	-0.23	15%	0.00%	0.33%
Jul-20	0.57	-0.65	-1.22	13%	0.00%	0.00%
Aug-20	-1.43	-0.52	0.90	13%	0.00%	0.00%
Sep-20	-1.41	-1.00	0.41	13%	0.00%	0.00%
Oct-20	-1.27	-1.00	0.27	13%	0.00%	0.00%
Nov-20	-1.33	-1.33	0.00	14%	0.00%	0.00%
Dec-20	-1.78	-1.00	0.78	14%	0.00%	0.00%
Jan-21	-2.86	-1.43	1.43	14%	0.00%	0.00%
Feb-21	-5.80	-2.40	3.40	15%	0.00%	0.00%
Mar-21	-8.48	-3.04	5.43	17%	0.00%	0.00%
Apr-21	-9.00	-3.14	5.86	17%	0.00%	0.00%
May-21	-9.00	-4.10	4.90	18%	0.00%	0.00%
Jun-21	-9.45	-4.55	4.91	20%	0.00%	0.00%
Jul-21	-10.00	-5.14	4.86	21%	0.00%	0.00%
Aug-21	-10.00	-5.68	4.32	22%	0.00%	0.00%
Sep-21	-10.00	-7.09	2.91	23%	0.00%	0.00%
Oct-21	-10.33	-7.05	3.29	23%	0.00%	0.00%
Nov-21	-10.00	-7.05	2.95	23%	0.00%	0.00%
Dec-21	-10.04	-7.04	3.00	23%	0.00%	0.00%

Source: BofA Global Research, Bloomberg

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Exhibit 24: FF-SOFR spread post QT in 2019

SOFR moved lower at a faster pace than FF post QT end, driving spread wider

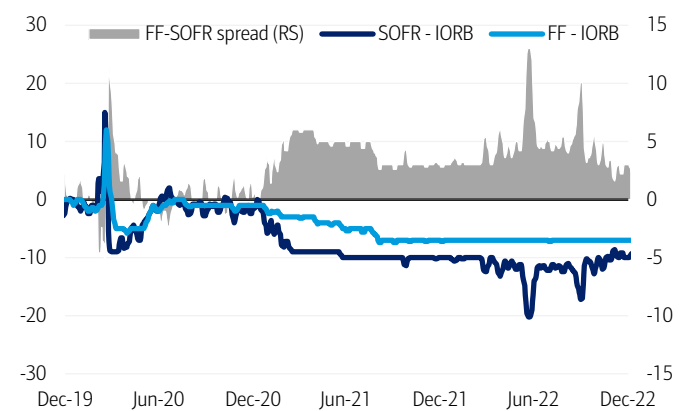


Source: BofA Global Research, Bloomberg

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Exhibit 25: FF-SOFR spread post COVID 2019

SOFR moved lower quickly and stayed below FF after COVID related QE



Source: BofA Global Research, Bloomberg

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Inflation – EU

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- In September, we argued for a tighter spread of z-spreads between OATei '47s and BTPei '56s, entering at 69bp. Our 40bp target has been breached and we close it.

Target reached for long BTPei 2056/short OATei 2047

Repack activity helps narrow spread of spreads to target

In the September edition of the Inflation Strategist, we said that: “OATei 2047s and BTPei 2056s have more-or-less the same duration but z-spreads that are 69bp apart. This looks very wrong”. (See our report: [‘Persistence insistence’, 3 September 2025](#).)

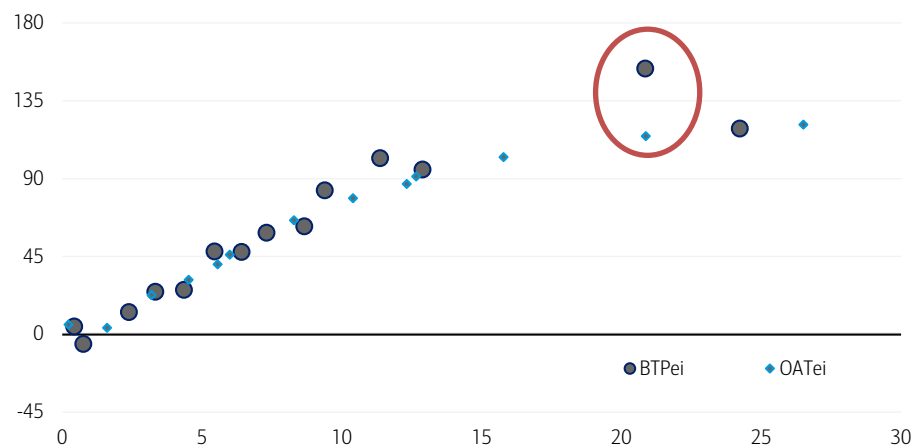
We recommended switching OATei 2047s into BTPei 2056s on a z-spread basis, picking up 69bp, setting a target of 40bp and a stop-loss at 85bp. We saw the main risk to the trade being the smooth resolution of political uncertainty in France.

The z-spread difference between the two bonds has since compressed by 31bp to 38bp, breaching our target, helped by repeated repackaging of the BTPei issue in SPIRE vehicles since September, we would argue.

Although, as Exhibit 26 suggests, the 30y BTPei is still a cheap issue, **we are closing the trade here**.

Exhibit 26: OATei and BTPei z-spreads versus modified duration

OATei 2047s and BTPei 2056s (circled) have very different maturity dates but near-identical modified durations. Although the spread between the two has compressed a lot, the BTPei still looks attractive (bp)



Source: BofA Global Research, Bloomberg

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Inflation – UK

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- In May, we suggested receiving the forward yield between UKTi 2035s and UKTi 2049s vs. paying the equivalent in TIPS. The trade has reached target and we close.

Target reached for receive 10y14y UKTi real yield vs. TIPS

Activist DMO helps reset UKTi real yield curve

Back in May (see our report: [‘When exorbitant privilege meets exorbitant need’, 14 May 2025](#)), we recommended an equal cash value extension trade from UKTi 1.125% 2035 to UKTi 2049s, to receive the forward real yield between the issues (then 3.24%), against an opposing equal cash value shortening trade from TII 2049s to TII Jan-35s, paying the forward real yield between the issues (then 3.02%). Entering for a net pick up between the forward yields (UK less US) of 22bp, we set a target of -40bp and a stop loss at 50bp. Since then, the UKTi forward has fallen to 2.62% while the TIPS forward is more-or-less unchanged at 3.03%, reducing the spread by 63bp to -41bp. It has therefore breached our -40bp target and we close it here.

Exhibit 27: Fitted Bloomberg 10y10y TIPS yields less the same for 10y10y UKTi, bp

Note that this chart shows the spread the opposite way around to our trade (which is expressed as a UKTi forward rate less a TIPS forward rate, reversing the sign).



Source: BofA Global Research, Bloomberg

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A chapter closes but it's not over for the UK long-end

The focus of the above-linked Liquid Insight report which introduced the trade was the relationship between the International Investment Positions of countries and their real yields. On this metric, the US looked expensive and the UK cheap. We decided on this expression of the trade – using long-end forward rates – because we believed that the UK DMO was becoming much more activist and receptive to the need to shorten the weighted average maturity of issuance (something we had argued for strongly in our report: [‘Choices under pressure. An ambitious UK Treasury has options to tame Gilts’, 19 March 2025](#)). We were also arguing for long-end steepening in the US, supporting the other side of the trade. Although we are now closing this particular trade, we maintain a constructive view of long-dated UK rates, favouring long-end flatteners.



Rates Alpha trade recommendations

Exhibit 28: Global Rates Trade Book - open trades

Open trades

	Open Trades	Entry Date	Entry	Target	Stop	Latest Level	Trade rationale	Risk
Europe	Sell OBL #192 vs. DBR Aug-46 ASW box	23-Nov-25	26bp	18bp	31bp	23bp	Shorter duration of supply, paying in 20y	WAM of supply isn't reduced. PF sell 20y bonds
	Long GGB Jan-37 vs PGB Apr-37	23-Nov-25	27bp	10bp	40bp	26bp	Greece has better fiscal, supply & rating outlook	Sharp risk off move
	US-EZ 30y inf. sprd. widener	23-Nov-25	22bp	60bp	0bp	23bp	Inflation spread narrow vs. history; +ve carry	US recession
	1y fwd 5s20s bull steepener	23-Nov-25	0bp	20bp	-10bp	0bp	Steepening of 5s20s curve	Bull flattening dynamic
	1y fwd 5s20s cap ladder (rf = 56.5bp)	23-Nov-25	0bp	11.25bp	-5bp	56bp	Steepening of 5s20s curve	Steepening beyond downside BE
	1y fwd 10s20s30s payer fly	23-Nov-25	0bp	10bp	-5bp	0bp	Underperformance of 20y vs 10s and 30s	Outperformance of 20y vs wings
	1y1y otm rec spread (*)	23-Nov-25	5bp	20bp	-10bp	4bp	Hedge negative shock	Macro rebound
	Long 3m10y vs 1y10y payers (*)	23-Nov-25	3bp	20bp	-10bp	4bp	Risks of higher rates near term, lower after	Large rally near term
	Long 7y Finland vs Austria	30-Oct-25	4bp	-5bp	10bp	4bp	Better fiscal and rating outlook	Escalation of Russia-Ukraine War
	Receive Mar26 ECB €str	3-Oct-25	1.86	1.65	1.95	1.90	Weak outlook to prompt more cuts	Upside data surprises
	Receive 10y5y 'real ESTR' rate	5-Sep-25	107	70	125	121	Lower neutral	Global bear market in rates
	Pay Jun26 IMM 1y Euribor-€str basis	7-Aug-25	23.7	30	19.5	25.5	Reserve demand-supply imbalance to worsen	Low reserve demand, structural operations
	Short 6m2y rec ladder	7-Jul-25	0bp	25bp	-14bp	0bp	Wide range of outcomes.	Rally to 1.5-1.9%
	Long 30y Bunds vs Netherlands	24-Nov-24	14.5	25	8	13	Fade the cheapness of GE long-end	Change in German constitution
UK	5y1y ATM-25/-100bp rec spread	8-Feb-24	25bp	60bp	0	16bp	Lower ECB terminal rate, without negative carry	Better than expected EUR data
	Long G vs. RXA invoice spd	23-Nov-25	52bp	32bp	62bp	43bp	Supply divergence in 2026	Higher than anticipated UK govt borrowing
	Pay Feb'26 vs. Jun'26 MPCs	23-Nov-25	-24bp	-40	-17	-25.3bp	Not enough cuts priced in in 1H26	BoE dropping "gradual" guidance
	Long UKTi 2039 BEI	20-Nov-25	286	325	265	290	Inflation persistence; potential retail interest	Concentrated 10-15y area linker supply
	UKTi 2058/68 real curve flattener	1-Jul-25	-12.7bp	-22bp	-7bp	-14bp	RV cheapness of '68s, convexity	Ultra-long supply poorly digested
	1y1y SOFR/FF widener	23-Nov-25	-5.25bp	-1bp	-8bp	-5.1bp	Fed likely to engage better MM controls	Slow-acting Fed that allows repo > target range
	Sell 3m1y vs 15m1y rec	23-Nov-25	4.5bp/v	20bp	-10bp	15bp	Long fwd vol on + medium term uncertainty	Near term cuts and medium-term fade
	1y5y rec spread (*)	23-Nov-25	14.5bp	25.5bp	-14.5bp	-1bp	Hedge downside risks and deeper cuts	Macro rebound
	6m2y payer ladders (*)	23-Nov-25	0bp	18bp	-10bp	0bp	Upgrade of macro backdrop	Selloff beyond downside BE
	6m fwd 2s10s floor ladder (rf = 52.5bp)	23-Nov-25	0bp	9.75bp	-5bp	51.5bp	Flattening of 2s10s curve, low vol context	Flattening beyond downside BE
	1y fwd 5s30s steepener	23-Nov-25	0bp	20bp	-10bp	0bp	Backend steepening, higher vol context	Bear flattening scenarios
	1y fwd 5s30s cap spd (rf = 64.5bp) (*)	23-Nov-25	11.5bp	18.5bp	-11.5bp	65bp	Backend steepening, higher vol context	Steepening beyond downside BE
	CAD 2s10s steepener	23-Nov-25	74.5bp	90bp	50bp	79.3bp	BoC cuts below expectations for neutral	A hawkish BoC
	Long 3m CORRA Z6 futures	23-Nov-25	2.32%	2.00%	2.50%	2.31%	Market underpricing risks of further BoC cuts	Rising inflation and a hawkish BoC
US	Long 5y synthetic RY	23-Nov-25	91bp	40bp	125bp	95bp	Dovish Fed & persistent inflation	Hawkish Fed & tighter financial conditions
	5s30s steepener	23-Nov-25	108bp	150bp	75bp	108bp	Dovish Fed & supply concern	Hawkish Fed & issuance cuts
	Long 2y swap spread	23-Nov-25	24bp	15bp	30bp	20bp	Lower supply, de-regs, high risk-adj carry	Risk-off, neg deficit surprise
	Receive SOFR Z7	31-Oct-25	3.18%	2.50%	3.65%	3.17%	Near-term Fed policy path more fairly priced	More hawkish Fed near-term on stronger data
	6m10y payer ladder	22-Oct-25	0bp	20bp	-10bp	3bp	Scenarios of hawkish repricing of policy trough	Scenarios of Fed hikes
	Long Jan SOFR/FF	15-Sep-25	-6.5bp	-2bp	-11bp	-9bp	Fed likely to step in on further funding pressure,	Fed more tolerant of SOFR above IORB and FF
	Sell 1y1y vs 1y10y vol	14-Aug-25	+4bp/v	15bp/v	-5bp/v	3bp	Underperformance of left vs right side vol on soft landing scenarios	Higher uncertainty around the Fed policy near term
	Long 10y BE	23-June-25	234bp	255bp	220bp	227bp	Fed independence threat hedge	Risk off flow that sees oil decline
	18m1y vs 6m1y rec	1-May-25	0bp	30bp	-15bp	77bp	< frontloaded cuts, > backloaded cuts	>frontloaded cuts with < medium term
	1y1y receiver 1x1.5	12-Dec-24	9bp	60bp	-15bp	-3bp	Hedging slowdown scenarios	Aggressive hard landing scenarios
	3y1y rtr spd a/-50bp	6-Nov-23	23bp	50bp	-23bp	10bp	Soft landing scenario	Capped to premium
	Short 5yr JGB on ASW	1-Dec-25	5	15	0	4.6	MoF May Shorten JGB Issuance WAM Again	Tax Reform Talks May Stall
	Long Japan 10-year BEI	23-Nov-25	160bp	190bp	167bp	171bp	Looks attractive given its positive carry	Price offset measures under the Takaichi
	JP 1y fwd 2s30s bear flattener	23-Nov-25	0bp	20bp	-10bp	0bp	Curve steepening	Bear flattening
APAC	JP long 1y1y vs 1y10y vol (*)	23-Nov-25	11bp	15bp	-8bp	15bp	Outperformance of left vs right side vol	Right side vol outperformance
	JP Costless 1y2y payer ladder	23-Nov-25	0bp	18bp	-10bp	0bp	Hawkish BoJ	Selloff beyond downside BE
	Receive 1y1y BBSW/SOFR basis swap	23-Nov-25	14bp	5bp	18.5bp	14bp	AU/US funding-market divergence into YE '25	AU funding squeeze into year-end 2025
	AU costless 1y2y rec ladder	23-Nov-25	0bp	25bp	-10bp	0bp	Dovish RBA	Rally beyond downside BE
	Long 9m2y rec spd US vs AU rec	23-Nov-25	0bp	30bp	-10bp	5bp	Outperformance US vs AU frontend	Outperformance AU vs US frontend
	Long OTR JGBi 2030 BEI	23-Nov-25	155bp	170bp	147bp	155bp	JGBi looks undervalued	Further price offset policies
	Buy 30y ACGBs vs. 30y JGBs	23-Nov-25	163bp	100bp	194bp	167bp	Divergent bond supply dynamics	Bid for JGBs in global risk-off episode
	AU 3s7s flattener vs. CAD steepener	23-Nov-25	24.5bp	15bp	45bp	6.5bp	Carry-rich flattener, AU/CA cyclical divergence	Unexpected fall in AU labor market
	Long 6m20y payers JPY vs AUD	21-Aug-25	0bp	20bp	-10bp	4bp	Underperformance of JPY vs AUD rates	Underperformance of AUD vs JPY rates
	Pay 3y swap EFP (q/q)	28-May-25	-9.5bp	10bp	-19.5bp	-3bp	Robust AU bond demand profile mispriced	Global spread tightening



Exhibit 28: Global Rates Trade Book - open trades
Open trades

Open Trades	Entry Date	Entry	Target	Stop	Latest Level	Trade rationale	Risk
Buy TCV 5.5% Sep 2039 vs 10y IRS	15-May-25	133bp	100bp	148bp	100bp	Fiscal convergence between AU and Victoria	Wider spreads likely in a risk-off event

(*) Target, stop, and latest level reflect PnL of trade



Exhibit 29: Global Rates Trade Book - closed trades

Closed trades

	Closed trades	Entry date	Entry level	Target	Stop	Close date	Level closed
Europe	Sell OATeI 47, buy BTPeI 56 on z-spread	5-Sep-25	69	40	85	4-Dec-25	38
	Sell 2055 TIPS, buy 2056 BTPeI	8-Oct-25	12	-20	28	23-Nov-25	0bp
	2y3y/5y5y Euro inflation steepener	2-May-25	20.0	35.0	10.0	23-Nov-25	16bp
	US-Euro 2y3y inflation widener	1-Jul-25	38	70	20	23-Nov-25	47bp
	Long 10y Bunds	2-Sep-25	2.80%	2.40%	3.05%	21-Nov-25	2.68%
	Short 5y German swap spreads	11-Jul-25	6.5	0	12	17-Nov-25	12
	Receive 10y5y €str	2-Sep-25	3.4%	3%	3.7%	30-Oct-25	3.19%
	6m 2s10s floor ladder	7-Jul-25	63bp	51.4bp	70bp	27-Oct-25	50bp
	US 3m10y payer spd vs EUR payers	7-Jul-25	0bp	25bp	-15bp	7-Oct-25	-7bp
	Receive Oct ECB €str	18-Jul-25	1.765	1.565	1.925	26-Sep-25	1.929
	Receiving 6m1y EUR vs CHF	14-Mar-25	176bp	130bp	200bp	18-Sep-25	196bp
	6m 2s5s30s rec fly	7-Jul-25	0	150k	-80k	05-Sep-25	150k
	Receive 5y5y "real ESTR" rate	14-May-25	74	25	100	05-Sep-25	83
	OATeI 2038/53 real curve flattener	13-June-25	20	0	30	20-Aug-25	30
	6m5y 1x1.5 rec	5-Feb-25	0bp	14bp	-10bp	4-Aug-25	0
	Pay 1y1y Euribor-€str basis	24-Nov-24	21.5	30	17	07-Aug-25	24
	Long 10y Spain vs Germany & Italy	9-May-25	25	15	31	04-Aug-25	22
	Short 5y EU vs NL	19-Jun-25	21.8	30	17	31-Jul-25	16
	Long 2y IT vs FR	20-Jun-25	7	-10	16	24-Jul-25	5.8
	Long EU 30y vs Netherlands	28-Mar-25	72	60	80	18-Jul-25	60
	Short 1y1y vs 1y10y vol	24-Nov-24	6.5bp	20bp	-10bp	11-Jul-25	24bp
	Receive BTPeI 2033-39 fwd yield	1-Apr-25	358	300	400	01-Jul-25	320
	BTPeI 2039 iota narrower	7-Mar-25	25.4	17	30	03-Jun-25	19.9
	US-Euro 2y3y inflation widener	7-Mar-25	28bp	50bp	15bp	30-May-25	50bp
	Long 15y OAT May-42	21-Mar-25	3.84	3.5	4.05	27-May-25	3.67
	Long 5y Greece vs Portugal	19-Nov-23	42	0	65	2-May-25	12
	Receive Dec ECB €str	2-Jan-25	1.77	1.3	2.18	17-Apr-25	1.47
	EUR 3m2y payer fly	16-Jan-25	12.4	35	2	16-Apr-25	0
	Pay 10y real Sofr, rec. 10y real €str	24-Nov-24	-112	-180	-80	1-Apr-25	-75
	Pay 1y1y CHF OIS	11-Dec-24	0.06%	0.35%	-0.10%	07-Mar-25	0.29%
	6m fwd 2s10s bull flattener OTM	23-Oct-24	0	900K	-500K	07-Mar-25	11K
	BTPeI 2039 breakeven long	29-Jan-25	189	220	170	07-Mar-25	198
	US 9m30y payer spd vs EUR payer	5-Feb-25	0bp	30bp	-15bp	07-Mar-25	-15bp
	Receive 5y5y "real ESTR" rate	02-Jul-24	28	-20	60	07-Mar-25	60
	Pay Mar ECB €str	23-Jan-25	2.44	2.55	2.37	07-Mar-25	2.42
	BTPeI 29/33/39 CDN barbell	18-Oct-24	31.6	15.0	40.0	27-Feb-25	25.3
	OATeI '36/'40/'43 fly	25-Sep-24	5.5	0.0	9.0	27-Feb-25	2.6
	Sell OATeI 43 vs 53 on z-spread	03-Sep-24	29	15	37	27-Feb-25	28
	3m2y payer fly	23-Oct-24	14.7bp	40bp	3bp	16-Jan-25	16.1bp
	Receive 2y1y €str	2-Dec-24	1.74	1.4	1.95	2-Jan-25	2.01
	Long 30y Bunds	03-Sep-24	2.58%	2%	2.83%	12-Dec-24	2.44%
UK	Pay 10y Sonia vs long 30y Gilt	19-Sep-25	139bp	120bp	155bp	5-Dec-25	120bp
	Rec fwd UKTi real rates/pay fwd TIPS real rates	14-May-25	22bp	-40bp	50bp	4-Dec-25	-41bp
	Pay 1y1y "real Sonia"	24-Oct-25	11	30	0	24-Nov-25	30
	1s2s RPI flattener	2-Oct-25	6.5	-25.0	25.0	24-Nov-25	14
	Long 30y Gilt on ASW	2-May-25	91	75	100	14-Nov-25	85
	Long UKTi 2027s on z-spread	5-Sep-25	15	0	23	30-Oct-25	24
	Receive December MPC-dated Sonia	5-Sep-25	3.88	3.72	3.96	22-Oct-25	3.80
	UKTi 2037/39 real curve flattener	24-Oct-24	17	9	25	17-Oct-25	17
	UKTi '32/36/47 barbell	05-Sep-24	14.8	5.0	20.0	17-Oct-25	8.5
	Sell UKTi 2036 v UKT 2042 on ASW	26-Jul-24	-21	-8	-28	17-Oct-25	-12
	Rec Nov MPC-dated Sonia	13-Jun-25	3.78%	3.50%	3.95%	01-Aug-25	3.78%
	1s2s RPI flattener	23-May-25	7	-30	25	01-Aug-25	-16
	Long UKT 0 1/8% 2028 vs. UKT 4 3/8% 2028 on ASW	24-Jan-25	-29	-40	-24	08-Jul-25	-24
	Short Sonia 3s5s7s (pay 5s)	05-Sep-24	-12	10	-21	26-Jun-25	-5.3
	Receive Nov MPC-dated Sonia	11-Apr-25	3.69	3.45	3.81	15-May-25	3.81
	Receive UKTi 2036-2042 fwd real yield	28-Feb-25	267	200	300	8-Apr-25	305
	Long G vs. WN invoice spreads	28-Feb-25	13.9	30	5	8-Apr-25	30
	Short 5y RPI	29-Jan-25	396	350	450	1-Apr-25	376
	Pay 5y real Sonia, receive 5y real €str	21-Aug-24	43	-40	90	1-Apr-25	-4
	UKTi 2052/68 yield flattener	20-Feb-24	-13	-35	0	1-Apr-25	-27
US	Receive Aug MPC-dated Sonia	14-Mar-25	4.07	3.95	4.13	24-Mar-25	4.13
	Pay March MPC Sonia	7-Feb-25	4.397%	4.468%	4.357%	20-Feb-25	4.45
	1y fwd 2s10s Sonia steepener	8-Nov-24	-1	25	-15	31-Jan-25	-15
	Pay 5y real Sonia	12-Jul-24	1	60	-30	29-Jan-25	15
	SOFR H6H7 flattener	11-Sep-25	-53bp	-75bp	-35bp	26-Nov-25	-58bp
	6m5y payer ladder	23-May-25	0bp	27bp	-10bp	24-Nov-25	0bp
	1y1y straddles vs strangles	24-Nov-24	+0.31%	20bp v	-10bp v	20-Nov-25	0.036%
	1y fwd 5s30s bear steepener	24-Nov-24	0bp	30bp	-15bp	20-Nov-25	27bp
	Long 5y30y vol vs 2y30y vol	24-Nov-24	+5.5bp v	15bp v	-10bp v	13-Nov-25	15bp



Exhibit 29: Global Rates Trade Book - closed trades

Closed trades

Closed trades	Entry date	Entry level	Target	Stop	Close date	Level closed
6m fwd 2s10s floor ladder	1-May-25	46bp	17bp	-10bp	1-Nov-25	31bp
Paid April '26 FOMC OIS	19-Sep-25	3.31%	3.65%	3.05%	29-Oct-25	3.47%
2s10s flattener	19-Sep-25	55bp	30bp	70bp	29-Oct-25	46bp
1y10y payer spread vs 3m10y payer	24-Nov-24	0bp	30bp	-15bp	23-Oct-25	-15bp
1y10y inflation swap steepener	3-Sep-25	-83bp	-40bp	-110bp	22-Oct-25	-68bp
6m10y payer spreads	7-Apr-25	8.5bp	25bp	-8.5	07-Oct-25	-7bp
Short 30y spread	1-Aug-25	-88bp	-105bp	-70bp	03-Oct-25	-83bp
Received 5y OIS	8-Aug-25	3.44%	2.8%	3.8%	19-Sep-25	3.29%
5s30s nominal steepener	3-Sep-25	122bp	160bp	90bp	19-Sep-25	105bp
Receive BoC Sept OIS vs Pay Fed Sept OIS	12-Sep-25	7bp	0bp	13bp	15-Sep-25	3bp
Short Oct SOFR/FF	27-Jun-25	-4bp	-8bp	-1bp	15-Sep-25	-6bp
Pay Sept FOMC OIS	14-Aug-25	4.12	4.25	4.05	22-Aug-25	4.12
Short 3y spread	30-Jun-25	-31bp	-40bp	-20bp	1-Aug-25	-31bp
6m5y payer ladder	7-Mar-25	0bp	0bp	-10bp	11-Aug-25	0bp
Pay Dec FOMC OIS	15-May-25	3.78%	4.25%	3.5%	1-Aug-25	3.83%
Short July SOFR/FF	30-Jun-25	+1bp	-2bp	+2.5bp	1-Aug-25	-0.5bp
3y20y swap spread steepener	2-Jul-25	-51bp	-30bp	-65bp	28-Jul-25	-47bp
6m1y rec spd	21-Jan-25	11bp	25bp	-11bp	22-Jul-25	2bp
Sell 1m10y vs 6m10y receiver	21-Jan-25	0bp	20bp	-10bp	22-Jul-25	8bp
Long 2y3y inflation	24-Apr-25	2.24	2.50	2.05	16-Jul-25	2.46
Pay July BoC OIS	6-Jun-25	2.65%	2.75%	2.55%	14-Jul-25	2.72%
Long 1y10y rtp spd vs 4m10y rtp	3-Jul-24	0bp	20bp	-17bp	7-Jul-25	-14bp
Short 30y swap spread	30-Apr-25	-90	-110	-75	30-Jun-25	-91
10s30s curve steepener	15-May-25	45bp	70bp	15bp	13-Jun-25	48bp
Pay SOFR Z6	29-May-25	3.26%	3.9%	2.75%	13-Jun-25	3.27%
Pay July FOMC OIS	8-May-25	4.15%	4.3%	4.05%	6-Jun-25	4.3%
Pay Bank of Canada June OIS	21-May-25	2.675%	2.75%	2.6%	04-Jun-25	2.75%
Z5-Z6 FF curve flattener	13-May-25	-34bp	-70bp	-10bp	29-May-25	-57bp
1y fwd 2s10s floor ladder	28-May-24	-20bp	-40bp	-60bp	28-May-25	0bp
Long July SOFR/FF	11-Apr-25	-3.5bp	+1bp	-7bp	19-May-25	+1bp
1y inflation swap short	10-Apr-25	3.49	2.90	3.90	12-May-25	3.12%
Pay June FOMC OIS	2-May-25	4.18%	4.3%	4.05%	8-May-25	4.29%
Pay July FOMC OIS	22-Apr-25	3.93%	4.15%	3.8%	2-May-25	3.99%
Pay July FOMC OIS & receive 5Y OIS	22-Apr-25	-41bps	-80bps	-15bps	2-May-25	-60bps
Long 30y swap spread	22-Apr-25	-94	-84	-105	1-May-25	-90
1m fwd 2s30s bull flattener	22-Apr-25	0bp	20bp	-10bp	1-May-25	4bpr
Short 30y swap spread	13-Mar-25	-79.5	-105	-70	22-Apr-25	-94
2s5s30s fly	11-Apr-25	-55bp	-90bp	-35bp	22-Apr-25	-74
Long 2y swap spread	11-Apr-25	-26	-17	-32	22-Apr-25	-27
M6M7 SOFR curve steepener	3-Apr-25	1bp	30bp	-20	10-Apr-25	7
Pay May'25 FOMC OIS	7-Apr-25	4.20	4.33	4.1	10-Apr-25	4.29
3m2y receiver spd vs 3m2y payers	21-Jan-25	0bp	30bp	10bp	10 Apr 25	24bp
TIPS 5y5y beta-breakeven long	1-Apr-25	-14	40	-50	9 Apr-25	-58
5s30s steepener	6-Oct-23	20	90	-20	9-Apr-25	90
2y forward, 3s28s inf steepener	4-Sept-24	0bps	30bps	-15bps	9-Apr-25	32bp
1y4y inflation swap long	14-Nov-24	2.56	3	2.25	8-Apr-25	2.21
Pay June FOMC OIS swap	26-Mar-25	4.15%	4.25%	4.09%	3-Apr-25	4.07%
1y10y payer ladders	28-May-24	0bp	37bp	-20bp	27-Mar-25	5bp
6m5y payer ladder	24-Nov-24	0bp	27bp	-15bp	27-Mar-25	7bp
M5/Z6 flatteners	4-Feb-25	-18	-50	10	3-Mar-25	-48.5
6m1y rtp ladders	9-Aug-24	0	25	-20	9-Feb-25	16
Short 30y spreads (May '54)	20-Jun-24	-80	-105	-65	06-Feb-25	-80
Receive TII 1/26 to TII 1/30 fwd real yield	12-Dec-24	1.77	1.4	1.98	19-Dec-24	2.05
Mar/Sep SOFR/FF '25 curve flattener	13-Sep-24	0 bps	-3.5bp	+2bp	17-Dec-24	-3
Buy TCV 5.5% Sep 2039, pay 10y swap	15-May-25	133bp	100bp	148bp	25-Nov-25	99bp
JP 1y2y payers spd vs 1y10y payers	24-Nov-24	0bp	40bp	-15bp	20-Nov-25	-2bp
JP 1y5y payer ladders	24-Nov-24	0bp	28bp	-10bp	20-Nov-25	17bp
Long 6m5y payer spd USD vs KRW	23-Sep-25	0bp	25bp	-10bp	20-Nov-25	-10bp
Long 20y AU semis, short 20y JGBs	18-Aug-24	289bp	200bp	330bp	14-Nov-25	282bp
AU IR H6/H7 steepener	30-Oct-25	0bp	25bp	-12bp	13-Nov-25	13bp
Pay AU 10y invoice spread vs US	30-May-25	40bp	60bp	25bp	23-Nov-25	44bp
KR 1y fwd 2s10s bull steepeners	24-Nov-24	0bp	25bp	-10bp	6-Nov-25	7bp
Pay Nov RBA OIS	04-Nov-25	19bp	0bp	25bpbp	04-Nov-25	0bp
Pay 6m1y, receive 1y5y swaps	30-Oct-25	62bp	38bp	74bp	30-Oct-25	60.7bp
AU 6m3y receiver 1x1.5	27-Mar-25	4bp	30bp	-15bp	27-Sep-25	12bp
Selling IVSP (= sell JGBZ5 vs receive swap)	20-Aug-25	-12.5	-16.0	-9.5	10-Oct-25	-13.2
AU 6m1y payer ladder	14-Jul-25	0bp	18bp	-10bp	25-Sep-25	5bp
Short Dec '26 futures, buy US	15-Aug-25	7bp	50bp	-15bp	19-Sep-25	25bp
Sell AU Jun '26 futures	25-Jul-25	96.78	96.50	97.00	15-Aug-25	96.91
Buy Dec '25 bill futures, sell YM	16-May-25	21bp	8bp	27bp	25-Jun-25	14bp

APAC



Exhibit 29: Global Rates Trade Book - closed trades

Closed trades

Closed trades	Entry date	Entry level	Target	Stop	Close date	Level closed
5s30s JGB curve steepener	15-May-25	198	215	189.5	21-May-25	215
AU 2s5s flattener vs CAD 2s5s steepener	15-Apr-25	43bp	21bp	54bp	1-May-25	29bp
10s20s JGB curve flattener	25-Mar-25	73	60	79.5	8-Apr-25	85
Buy au 3y (YM) pay Aug RBA	04-Mar-25	-8bp	-50bp	10bp	11-Apr-25	-16bp
2yr fwd 2s10s OIS flatteners	19-Feb-25	40	25	47.5	4-Apr-25	39
AU 1y1y risk reversal	24-Nov-24	0bp	40bp	-20bp	27-Mar-25	23bp
AU Long 1y2y AU vs US receivers	24-Nov-24	0bp	40bp	-20bp	27-Mar-25	15.5bp
Mar/Sep '25 BOB steepener	3-Oct-24	2bp	6bp	0bp	18-Mar-25	4bp
Short 5yr JGB ASW	24-Jan-25	0	8	-5	06-Mar-25	8
Receive Feb '25/ Pay Apr '25 RBA s	29-Jan-25	-11bps	0bp	-17bp	21-Feb-25	-4bp
AU pay 5y5y 6s3s	19-Nov-23	4.4bps	9bp	2bp	05-Feb-25	8.45bp
5yr20yr JGB curve flatteners	9-Jan-25	114	104	119	17-Jan-25	104
Long 20yr JGB asset swap	24-Nov-24	27	20	31	16-Jan-25	31
Receive AU 5y5y IRS vs US	11-Nov-24	107	75	123	20-Dec-24	74
Long 5yr ACGBs vs 5yr JGBs	24-Nov-24	305	280	320	13-Dec-24	320
AU Pay Feb '25 RBA, buy Sep futures	24-Nov-24	-23bp	-45bp	-12bp	10-Dec-24	-48bp
AU/JP: buy 5y ACGBs, sell 5y JGBs	24-Nov-24	352bp	305bp	375bp	10-Dec-24	305bp



Global rates forecasts

Exhibit 30: Latest levels and rate forecasts

Forecasts by quarter up to Q4 '26 plus YE 2027

		Latest	YE 25	Q1 26	Q2 26	Q3 26	YE 26	YE 27
USA	0/N SOFR	3.95	3.93	3.93	3.68	3.18	3.18	3.18
	2y T-Note	3.53	3.50	3.45	3.35	3.25	3.25	3.25
	5y T-Note	3.68	3.65	3.60	3.55	3.50	3.50	3.50
	10y T-Note	4.11	4.00	4.05	4.15	4.20	4.25	4.25
	30y T-Bond	4.76	4.60	4.65	4.65	4.70	4.75	4.75
	2y Swap	3.31	3.35	3.35	3.25	3.15	3.15	3.05
	5y Swap	3.37	3.40	3.40	3.35	3.30	3.30	3.20
	10y Swap	3.69	3.65	3.75	3.85	3.90	3.95	4.10
	30y Swap	4.04	3.95	4.05	4.05	4.10	4.10	4.30
Germany	3m Euribor	2.06	2.05	1.85	1.90	1.90	1.90	2.00
	2y BKO	2.07	1.90	1.90	1.95	2.00	2.05	2.15
	5y OBL	2.37	2.20	2.25	2.30	2.35	2.35	2.45
	10y DBR	2.77	2.65	2.65	2.65	2.75	2.75	2.85
	30y DBR	3.41	3.28	3.30	3.25	3.35	3.40	3.50
	2y Euribor Swap	2.20	2.10	2.05	2.05	2.10	2.15	2.25
	5y Euribor Swap	2.46	2.35	2.35	2.35	2.40	2.40	2.50
	10y Euribor Swap	2.80	2.70	2.70	2.65	2.70	2.70	2.80
	30y Euribor Swap	3.12	3.05	3.10	3.05	3.10	3.15	3.30
Japan	TONA	0.48	0.48	0.73	0.73	0.98	0.98	1.48
	2y JGB	1.03	0.85	1.00	1.07	1.25	1.30	1.80
	5y JGB	1.41	1.10	1.25	1.32	1.50	1.55	2.00
	10y JGB	1.94	1.65	1.75	1.80	1.90	2.00	2.25
	30y JGB	3.40	3.25	3.30	3.33	3.35	3.50	3.55
	2y Swap	1.01	0.82	0.95	1.02	1.18	1.23	1.70
	5y Swap	1.36	1.05	1.18	1.25	1.40	1.45	1.88
	10y Swap	1.75	1.45	1.53	1.58	1.65	1.70	1.93
U.K.	3m Sonia	3.77	3.65	3.45	3.25	3.25	3.25	3.35
	2y UKT	3.74	3.60	3.55	3.50	3.52	3.55	3.65
	5y UKT	3.88	3.90	3.90	3.90	3.90	3.90	4.00
	10y UKT	4.44	4.50	4.45	4.45	4.45	4.50	4.70
	30y UKT	5.16	5.30	5.25	5.25	5.25	5.25	5.25
	2y Sonia Swap	3.49	3.35	3.30	3.25	3.27	3.30	3.40
	5y Sonia Swap	3.62	3.60	3.60	3.60	3.60	3.60	3.70
	10y Sonia Swap	3.96	4.00	4.00	4.00	4.00	4.05	4.25
Australia	3m BBSW	3.68	3.60	3.60	3.60	3.60	3.60	3.35
	2y ACGB	3.99	3.70	3.75	3.85	3.85	3.85	3.45
	5y ACGB	4.24	3.95	4.00	4.10	4.10	3.95	3.70
	10y ACGB	4.70	4.40	4.40	4.40	4.35	4.35	4.25
	3y Swap	4.04	3.80	3.85	3.95	3.95	3.95	3.55
	10y Swap	4.75	4.50	4.50	4.50	4.45	4.45	4.35
Canada	2y Govt	2.47	2.45	2.35	2.25	2.25	2.25	2.50
	5y Govt	2.82	2.75	2.75	2.75	2.75	2.75	3.00
	10y Govt	3.26	3.25	3.25	3.25	3.30	3.35	3.50
	2y Swap	2.34	2.30	2.20	2.10	2.10	2.10	2.35
	5y Swap	2.63	2.55	2.55	2.55	2.55	2.55	2.80
	10y Swap	3.02	3.00	3.00	3.00	3.05	3.10	3.25

Source: BofA Global Research

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Appendix: Common acronyms

Exhibit 31: Common acronyms/abbreviations

This list is subject to change

Acronym/Abbreviation	Definition	Acronym/Abbreviation	Definition
ann	annualized	IT	Italy
APF	Asset Purchase Facility	NADEF	Nota Aggiornamento Documento Economia e Finanza
APP	Asset Purchase Programme	NFR	Net Financing Requirement
AS	Austria	lhs/LS	left-hand side
BdF	Banque de France (Bank of France)	MA	Moving Average
BE	Belgium	MACD	Moving average convergence/divergence
BEA	Bureau of Economic Analysis	MBM	Meeting-by-meeting
BLS	Bank Lending Survey	mom	month-on-month
BoE	Bank of England	MPC	Monetary Policy Committee
Bol	Banca d'Italia (Bank of Italy)	MWh	Megawatt-hour
BoJ	Bank of Japan	NBFI	Non-bank financial institution
BoS	Banco de España (Bank of Spain)	NGEU	NextGenerationEU
bp	basis point	NE	Netherlands
BTP	Buoni Poliennali del Tesoro	NRFP	National Recovery and Resilience Plan
Buba	Bundesbank	NSA	Non-seasonally Adjusted
c	circa	NS&I	National Savings & Investment
CA	Current Account	OAT	Obligations assimilables du Trésor
CB	Central Bank	OBR	Office for Budget Responsibility
CNRF	Contingent Non-Bank Financial Institution Repo Facility	OECD	Organisation for Economic Co-operation and Development
CPI	Consumer Price Index	ONS	Office for National Statistics
CSPP	Corporate Sector Purchase Programme	OBR	Office for Budget Responsibility
CGNCR	Central Government Net Cash Requirement	p	preliminary/flash print
GE	Germany	PBoC	People's Bank of China
DMO	Debt Management Office	PEPP	Pandemic Emergency Purchase Programme
DS	Debt sustainability	P&I	Pension and Insurance
DXY	US Dollar Index	PMI	Purchasing Managers' Index
EA	Euro area	PMRR	Preferred Minimum Range of Reserves
EC	European Commission	PPF	Pension Protection Fund
ECB	European Central Bank	PRT	Pension Risk Transfer
ECJ	European Court of Justice	PSPP	Public Sector Purchase Programme
EFSF	European Financial Stability Facility	PT	Portugal
EGB	European Government Bond	QE	Quantitative Easing
EIB	European Investment Bank	qoq	quarter-on-quarter
EMOT	Economic Mood Tracker	QT	Quantitative Tightening
EP	European Parliament	RBA	Reserve Bank of Australia
SP	Spain	RBNZ	Reserve Bank of New Zealand
ESI	Economic Sentiment Indicator	rhs/RS	right-hand side
ESM	European Stability Mechanism	RPI	Retail Price Index
EU	European Union	RRF	Recovery and Resilience Facility
f	final print	RSI	Relative Strength Index
FPC	Financial Policy Committee	SA	Seasonally Adjusted
FR	France	SAFE	Survey on the access to finance of enterprises
FY	Fiscal Year	SMA	Survey of Monetary Analysts / Simple moving average
GC	Governing Council	SNB	Swiss National Bank
GDP	Gross Domestic Product	SPF	Survey of Professional Forecasters
GNI	Gross National Income	STR	Short Term Repo
GFR	Gross Financing Requirement	SURE	Support to mitigate Unemployment Risks in an Emergency
GR	Greece	TFSME	Term Funding Scheme with additional incentives for SMEs
GSB	Green Savings Bond	TLTRO	Targeted Longer-term Refinancing Operations
HICP	Harmonised Index of Consumer Prices	TPI	Transmission Protection Instrument
HMT	His Majesty's Treasury	TTF	Title Transfer Facility
IMF	International Monetary Fund	UST	US Treasury
INSEE	National Institute of Statistics and Economic Studies	WDA	Work-day Adjusted
IP	Industrial Production	yoy	year-on-year
IR	Ireland	ytd	year-to-date
IGFR	Illustrative Gross Financing Requirement	DV01	Dollar value of a one basis point change in yield
PCA	Principal Component Analysis	WAM	Weighted Average Maturity
IG	Investment Grade		

Source: BofA Global Research

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